Nepal E-Commerce BI Report 2025

Period View: Quarterly

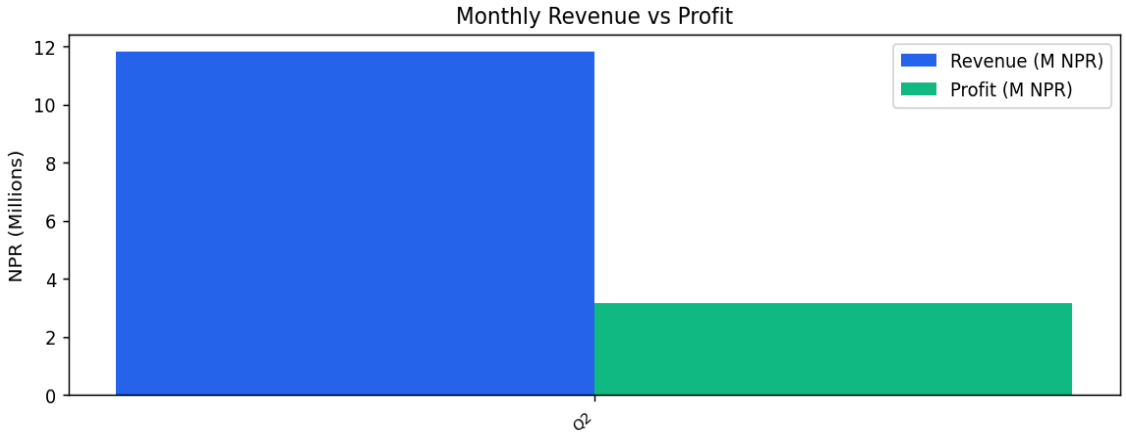
Gross Revenue	Net Profit	Net Margin	Cash Coverage	Inventory Turn	Margin Safety
NPR 12.09M	NPR 3.15M	26.71%	1.11x	0.79x	93.31%

1. Profitability

Gross Revenue	**NPR 12,087,770**
Net Revenue	**NPR 11,810,056**
Gross Profit	**NPR 4,124,000 (34.92%)**
Net Profit	**NPR 3,154,439 (26.71%)**
Total Operating Expense	**NPR 969,561**

■ The business generated NPR 12.09M in gross revenue with a gross profit margin of 34.92%, below the 40 % e-commerce benchmark - review supplier costs and pricing. After accounting for NPR 0.97M in operating expenses, net profit stands at NPR 3.15M (26.71%), which is strong. Maintain cost discipline and explore reinvestment to sustain this margin.

2. Revenue & Profit Growth

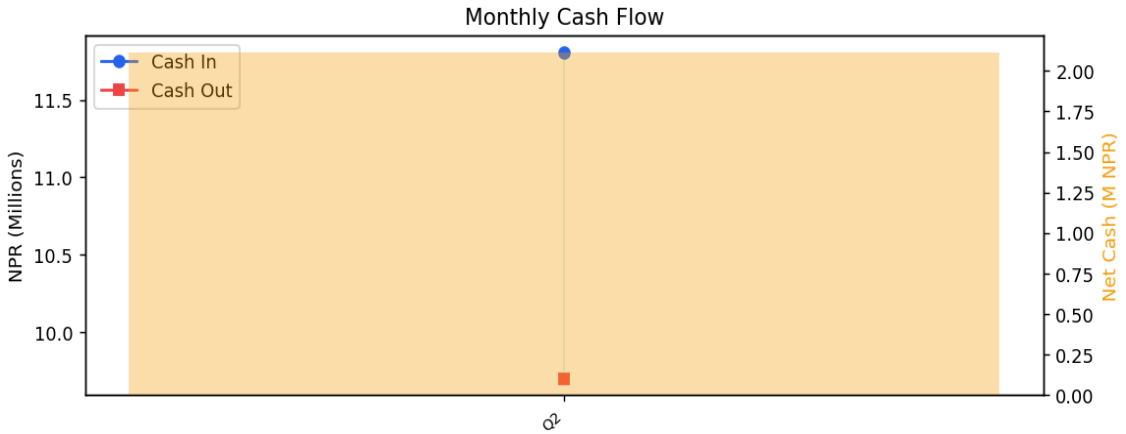


Period	Revenue (NPR)	Profit (NPR)	Growth %
Q2	11,810,056	3,154,439	None%

■ Revenue shows a flat trend over the period with an average monthly growth rate of 0%. Growth has stalled — investigate demand drivers, pricing, and competitive dynamics.

3. Cash Flow Analysis

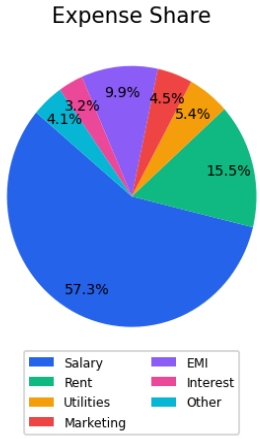
Total Cash Inflow	**NPR 11,810,056**
Total Cash Outflow	**NPR 10,667,742**
Net Cash Movement	**NPR 1,142,314**

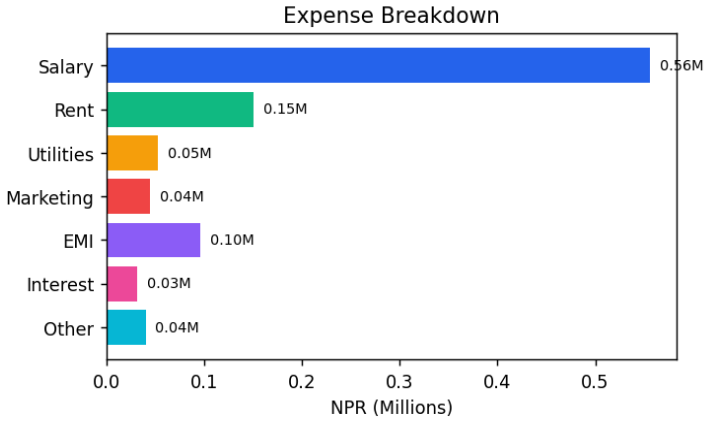


Period	Cash In (NPR)	Cash Out (NPR)	Net (NPR)
Q2	11,810,056	9,698,181	2,111,875

■ Total cash inflows of NPR 11.81M against outflows of NPR 10.67M yields a cash coverage ratio of 1.11x - classified as 'tight'. Net cash movement for the period is NPR 1.14M. The cash buffer provides runway for inventory pre-buying and expansion.

4. Expense Breakdown

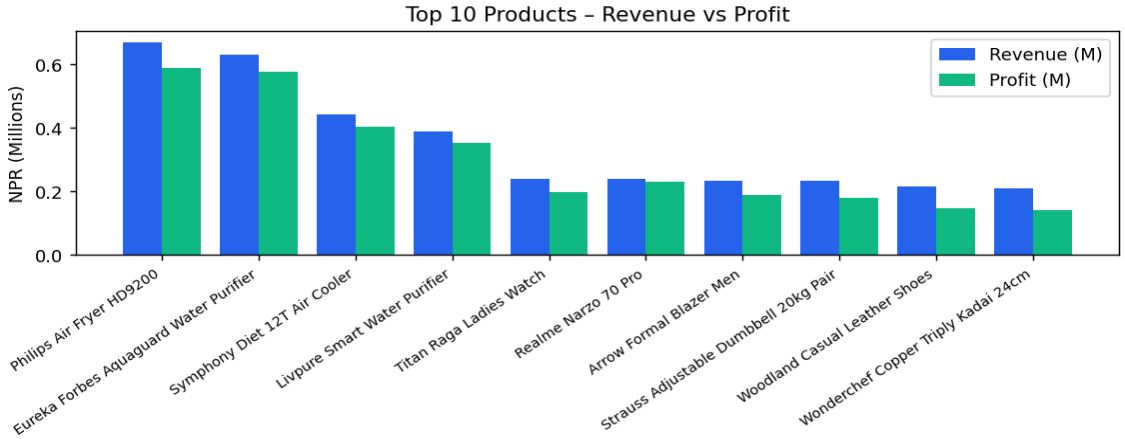




Salary	**NPR 555,682**
Rent	**NPR 150,000**
Utilities	**NPR 52,574**
Marketing	**NPR 44,042**
EMI	**NPR 96,000**
Interest	**NPR 31,324**
Other	**NPR 39,939**

■ 'Salary' is the largest cost centre at 57.3% of total operating expenses. A diversified expense base reduces concentration risk; however, categories growing faster than revenue should be reviewed quarterly. Consider automating repetitive logistics tasks and renegotiating platform fees to drive structural cost reduction.

5. Top 10 Products by Revenue



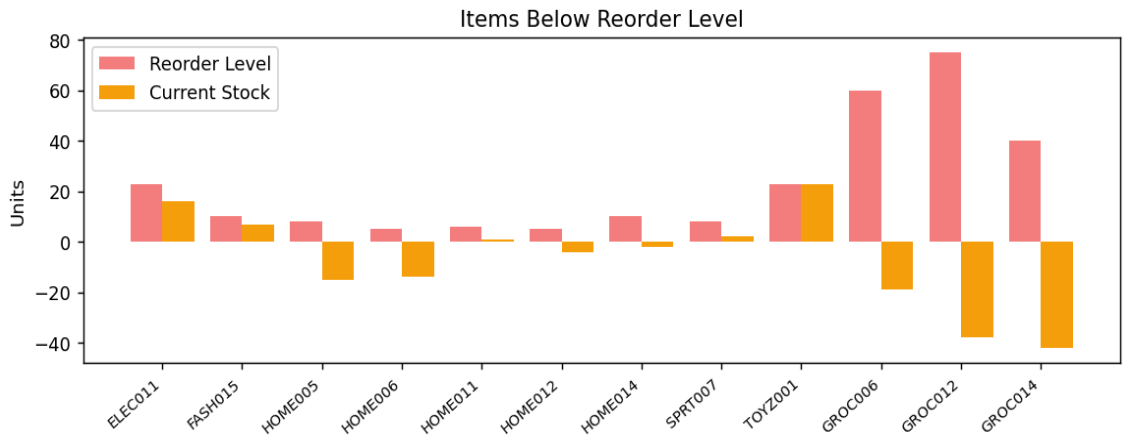
Product	Revenue (NPR)	Units Sold	Profit (NPR)
Philips Air Fryer HD9200	671,490	50	590,225
Eureka Forbes Aquaguard Water Purifier	632,314	34	577,054
Symphony Diet 12T Air Cooler	442,400	24	403,393
Livpure Smart Water Purifier	390,668	22	354,911

Product	Revenue (NPR)	Units Sold	Profit (NPR)
Titan Raga Ladies Watch	240,554	27	196,671
Realme Narzo 70 Pro	240,020	6	230,268
Arrow Formal Blazer Men	234,840	28	189,332
Strauss Adjustable Dumbbell 20kg Pair	233,737	33	180,102
Woodland Casual Leather Shoes	216,193	43	146,305
Wonderchef Copper Triply Kadai 24cm	209,858	42	141,595

■ The top performer, 'Philips Air Fryer HD9200', generates NPR 0.67M in revenue - 0.46M more than the 10th-ranked product. High revenue concentration in a few SKUs signals an opportunity to cross-sell mid-tier products and reduce dependency risk. Products with high unit counts but lower revenue should be evaluated for margin improvement.

6. Inventory Health

Inventory Turnover	**0.79x**
Days Inventory Outstanding	**460.6 days**
Items Below Reorder Level	**14**

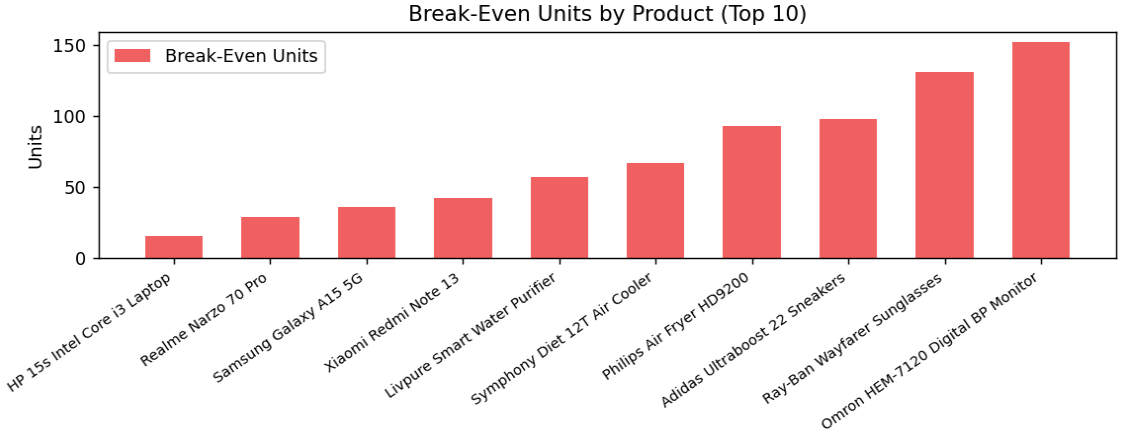


Item ID	Product	Closing Stock	Reorder Level
ELEC011	HP 15s Intel Core i3 Laptop	16	23
FASH015	Arrow Formal Blazer Men	7	10
HOME005	Philips Air Fryer HD9200	-15	8
HOME006	Eureka Forbes Aquaguard Water Purifier	-14	5
HOME011	Symphony Diet 12T Air Cooler	1	6
HOME012	Livpure Smart Water Purifier	-4	5
HOME014	Wonderchef Copper Triply Kadai 24cm	-2	10
SPRT007	Strauss Adjustable Dumbbell 20kg Pair	2	8
TOYZ001	LEGO Classic Bricks Creative Box 484pcs	23	23
GROC006	Chitwan Gold Tea 500g	-19	60
GROC012	Maggi 2-Minute Noodles 12 pack	-38	75
GROC014	Kissan Mixed Fruit Jam 700g	-42	40

■ Inventory turns 0.79x per year (460.6 days outstanding), which is below the e-commerce benchmark of 6x. 14 SKUs are currently below their reorder level - urgent restocking required to prevent stockouts. Consider adopting a demand-driven reorder system to reduce both stockouts and overstock.

7. Break-Even Analysis

Overall Break-Even Units	**316**
Actual Units Sold	**4,729**
Margin of Safety	**93.31%**

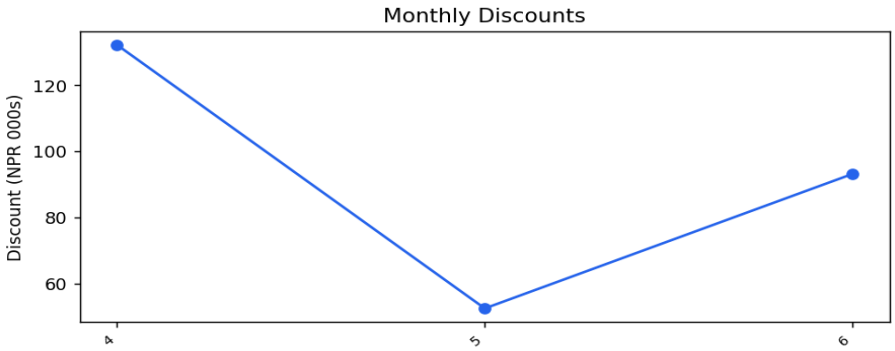


Product	B/E Units	Contrib / Unit (NPR)
HP 15s Intel Core i3 Laptop	15	61,373.70
Realme Narzo 70 Pro	29	32,373.70
Samsung Galaxy A15 5G	36	26,373.70
Xiaomi Redmi Note 13	42	22,873.70
Livpure Smart Water Purifier	57	16,873.70
Symphony Diet 12T Air Cooler	67	14,373.70
Philips Air Fryer HD9200	93	10,373.70
Adidas Ultraboost 22 Sneakers	98	9,873.70
Ray-Ban Wayfarer Sunglasses	131	7,373.70
Omron HEM-7120 Digital BP Monitor	152	6,373.70
LEGO Classic Bricks Creative Box 484pcs	152	6,373.70
Titan Raga Ladies Watch	152	6,373.70
Arrow Formal Blazer Men	180	5,373.70
Fisher-Price Baby Activity Gym	187	5,173.70
Strauss Adjustable Dumbbell 20kg Pair	187	5,173.70

■ The business needs to sell 316.0 units to break even; it actually sold 4,729 - a margin of safety of 93.31% (comfortable). Profitability is well-protected from demand shocks. Use the buffer to invest in growth.

8. Discount Analysis

Total Discounts Granted	**NPR 277,714**
Effective Discount Rate	**2.3%**



■ NPR 0.28M was granted in discounts (2.3% of gross revenue), which is within acceptable range. Targeted promotional campaigns yield better ROI than blanket discounts. Track redemption rates by category to identify which discounts drive incremental sales.